

Genki Forest (元气森林) — Case Handout

Topic 1.2 Markets and Competitive Advantage · Read before class. Be ready to discuss.

Background

Genki Forest (元气森林) is a Chinese beverage company founded in 2016 by Tang Binsen (唐彬森) in Beijing. The company sells zero-sugar, zero-calorie sparkling water and tea drinks in a market dominated by sugary sodas and traditional tea beverages. The zero-sugar formula uses erythritol and stevia (natural sweeteners) instead of sugar.

Tang Binsen was a tech entrepreneur — founder of a mobile gaming company — who applied a data-driven, rapid-testing approach to the beverage industry. He identified a growing health-consciousness trend among Chinese consumers and designed products to match. Genki Forest uses the Japanese kanji character "気" (ki) in its branding instead of the simplified Chinese character "气." The packaging and visual identity are designed to evoke a Japanese aesthetic, positioning the brand as a premium product — even though Genki Forest is a Chinese company.

Genki Forest grew from zero to over \$1.5 billion in annual revenue within five years. The brand is sold in convenience stores (FamilyMart, 7-Eleven), supermarkets, and online platforms across China, and has expanded to Southeast Asia, Japan, and North America.

Key Events

Year	Event
2016	Tang Binsen founds Genki Forest; launches zero-sugar sparkling water in Japanese-inspired packaging
2017–2018	Growth through convenience store distribution — places products in FamilyMart, 7-Eleven, and similar chains
2019	Product goes viral on social media; sales grow 300%+ year-over-year
2020	Annual revenue exceeds 3 billion yuan (~\$450M); raises significant VC funding
2021	Annual revenue exceeds 7 billion yuan (~\$1 billion); expands to milk tea, juice, and sports drinks
2022–2024	Competition intensifies — Coca-Cola launches "AH!HA!" sparkling water, Pepsi launches "Bubly," and numerous Chinese brands enter the zero-sugar market

Questions

1. Respond to parts A, B, and C.

(A) Identify three specific features Genki Forest uses to distinguish its products from other beverages on the market.

(B) Explain which of these three features is most difficult for competitors to copy, and why.

(C) Predict what will happen to Genki Forest's market position as large competitors like Coca-Cola and Pepsi launch their own zero-sugar products.

2. Respond to parts A, B, and C.

Tang Binsen was a tech entrepreneur, not a beverage expert. He applied a data-driven, rapid-testing approach to developing drinks.

(A) Describe the method Tang Binsen used to identify which products to develop.

(B) Explain how this method reduced the risk of launching products that consumers would not buy.

(C) Explain why a data-driven approach to product development might be more effective in the beverage industry than relying on expert intuition alone.

3. Respond to parts A, B, and C.

Genki Forest uses the Japanese kanji "気" in its brand name and Japanese-inspired packaging — even though it is a Chinese company.

- (A) Identify the image Genki Forest is trying to create through this branding choice.
 - (B) Explain why this image might appeal to Chinese consumers.
 - (C) Evaluate whether this branding choice could become a risk for Genki Forest as it expands internationally, particularly in Japan.
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4. Respond to parts A, B, and C.

Genki Forest's first products were sold through convenience stores like FamilyMart and 7-Eleven.

- (A) Identify the type of customer who shops at convenience stores in Chinese cities.
 - (B) Explain why convenience stores were a suitable distribution channel for Genki Forest's target customer.
 - (C) Recommend one additional distribution channel Genki Forest should prioritize to reach new customer segments. Support your recommendation with reasoning.
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5. Respond to parts A, B, and C.

By 2022–2024, multiple large competitors launched zero-sugar sparkling water products to compete with Genki Forest.

- (A) Identify the competitors mentioned in the scenario that entered the zero-sugar market.
 - (B) Explain how the entry of these competitors affects Genki Forest's position in the market.
 - (C) Recommend two specific actions Genki Forest could take to maintain its position against competitors with larger resources and established distribution networks.
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Keep this handout for reference during class discussion.